AOU
الجامعة العربية المفتوحة
Arab Open University
Egypt

Faculty of Business Administration

FIN341
Islamic Finance
Version B

Final Examination
2025-2026 / Spring

4 – June – 2026

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Number of Exam Pages: 2 (including this cover sheet)	**Time Allowed: 2 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Solve All questions

Question 1: (25 marks)

A Sukuk is structured as an Ijarah (leasing) agreement, where the asset is leased for a period of **7** years with an annual rent of **$150,000**. The total value of the asset is **$1,000,000**, and the Sukuk investors receive **80%** of the lease income, while the issuer retains **20%**. If the market rate of return is **6%**, what is the price of the Sukuk? (Hint: PV = (C / r) × (1− (1+r)^−n))

Question 2: (25 marks)

An Islamic finance portfolio has the following characteristics:

- Expected return: 9% per annum
- Portfolio volatility (standard deviation): 15%
- Portfolio value: $10 million
- Time horizon: 1 year
- Confidence level: 99% (Z-score = 2.33)

Calculate the **Value at Risk (VaR)** for the portfolio. What can you conclude.

(Hint: VaR = Zα × σ × V)

Question 3: (25 marks)

Distinguish between Islamic wealth management and conventional funds management.

Question 4: (25 marks)

List **10** types of Sukuk and explain **Four** of them using relevant examples.

End of Questions

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